COMPLIANCE RISK ASSESSMENT REPORT
Organizational Risk Evaluation – AML/KYC & Regulatory Compliance

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1. Objective

To identify, assess, and evaluate key compliance risks associated with business operations of a fictional import-export entity, and to recommend specific measurable mitigation measures aligned with AML/KYC regulatory requirements including PMLA, RBI guidelines, and FATF recommendations.

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2. Scope of Assessment

This assessment covers:

- AML/KYC compliance framework
- Customer onboarding processes
- Transaction monitoring systems and alert management
- Regulatory reporting obligations (STR/SAR Filing)
- Data privacy and protection practices (DPDP Act 2023)

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3. Business Profile (Sample Entity)

Entity Type: Private Limited Company *(Fictional Sample)*

Industry: Import-Export / Trading

Operations: Domestic and international wire transfers, supplier remittances to UAE and Singapore

Customer Base: Individual business owner and SMEs

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4. Risk Identification & Assessment

Risk Area	Description	Risk Level	Impact	Likelihood	Rationale
AML/KYC Gaps	Incomplete verification of business clients and beneficial owners	**HIGH**	High	Medium	Complex trade structures may obscure ownership chains
Transaction Monitoring	Failed to detect unusual traded-linked payment patterns	**HIGH**	High	High	High volumes increases alert fatigue and monitoring burden
Trade-based ML	Invoice manipulation and traded document fraud	**HIGH**	High	Medium	Deliberate intent required, less frequent but severe when it occurs.
Regulatory Reporting	Delay in STR/SAR filing due to weak escalation processes	**MEDIUM**	High	Medium	Manual processes may slow reporting timelines
Data Privacy	Improper handling of customer/business personal data	**LOW**	Medium	Medium	Limited sensitive personal data exposure at current scale
Third-Party Risk	Weak due diligence on overseas partners and intermediaries	**HIGH**	Medium	High	Heavy reliance on external trade partners increases exposure
Residual Risk (Post-Controls)	Risk remaining after proposed mitigation controls are applied	**MEDIUM**	Medium	Low	Controls materially but do not eliminate exposure.

5. Key Risk Observations (Import–Export Scenario Specific)

Trade-Based Money Laundering (TBML) Exposure:
The nature of import-export operations creates risk of invoice manipulation (over/under-invoicing) to move value across borders undetected. This is a recognized FATF red flag requiring specific controls beyond standard AML monitoring

Mismatch Between Trade Volume and Financial Activity:
High-value international transactions may not align with declared turnover or business scale, increasing risk of misuse of accounts for value transfer or layering.

Use of High-Risk Trade Corridors:
Transactions involving UAE and Singapore carry moderate ML risk. While both are FATF-compliant jurisdictions, the UAE region carries elevated hawala network prevalence. Transactions to FATF grey-listed jurisdictions would automatically trigger EDD.

Reliance on Third-Party Intermediaries:
Use of agents, freight forwarders, and overseas partners without robust due diligence increases risk of indirect involvement in illicit activities. All third parties must be screened against sanctions and adverse media databases.

Delayed or Incomplete Documentation:
Inconsistent submission of shipping documents (invoices, bills of lading) may indicate gaps in compliance or intentional concealment. Cross-verification of trade documents against financial flows is essential.

Synthesis:
Collectively, these risk factors position of subject entity's import-export account as **Medium–High risk**, requiring enhanced ongoing monitoring rather than standard periodic review.

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6. Risk Rating Summary

Overall Compliance Risk Level: Medium to High

The entity operates in a moderate to high-risk environment due to cross-border exposure, transaction volume. TBML vulnerability, and reliance on third-party intermediaries. While basic compliance controls are assumed in place, the volume and nature of international trade activity necessitates enhanced monitoring and structured compliance frameworks.

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7. Mitigation Measures (Specific & Measurable Controls)

Enhanced KYC & UBO Verification:

- Verify Ultimate Beneficial Ownership (UBO) for all business clients
- Mandatory document refresh every **12 months** for high-risk customers

Transaction Monitoring Controls:

- Implement rule-based alerts for transactions exceeding **₹10 lakh**
- Flag repeated transactions just below reporting thresholds
- Monthly review of top **10 high-value accounts**

Trade Document Verification:

- Cross-check invoices with shipping documents (bill of lading, customs records)
- Conduct random audits on **at least 20% of trade transactions quarterly**

Third-Party Due Diligence:

- Perform onboarding checks for all overseas partners
- Screen third parties against sanctions and adverse media databases
- Annual risk reassessment of high-risk partners

Regulatory Reporting Controls:

- STR/SAR escalation within **24–48 hours** of detection
- Maintain centralized reporting log for audit tracking

Training & Governance:

- Conduct AML compliance training **twice annually**
- Define a **three-tier escalation matrix: Analyst → Senior Compliance Officer → MLRO**, with clearly defined response timelines at each level

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8. Compliance Framework Recommendations

- Adoption of risk-based approach (RBA)
- Periodic KYC review and customer risk reclassification
- Establish internal escalation protocols
- Maintain proper documentation and audit trails

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9. Conclusion

The organization operates in a moderate to high-risk environment due to cross-border exposure and transaction volume. While basic compliance controls may be in place, enhanced monitoring protocols, structured escalation frameworks, and systematic trade document verification are essential to mitigate financial crime risk and maintain regulatory compliance under PMLA, RBI KYC Master Directions and, FATF guidelines.

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10. Prepared By

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11. Disclaimer

This is a simulated Compliance Risk Assessment Report created for educational and portfolio purposes to demonstrate understanding of regulatory risk evaluation and compliance frameworks.